ALTERNATIVE INVESTMENT FEATURES

Learning Outcome

- describe features and categories of alternative investments

Alternative investments are investments other than ownership of public equity securities, fixed-income instruments, or cash that represent the more traditional asset classes. These investments are referred to as alternatives to traditional asset classes because of their characteristics and the way they are structured. Investors are often attracted to alternative investments when seeking greater diversification and/or higher expected returns in exchange for what are often longer-term, illiquid investments in less efficient markets. The features of these investments necessitate specific skills and information to evaluate their performance and include unique factors investors must consider if adding them to a portfolio.

Alternative Investments: Features and Categories

Some alternative investment features are shared with traditional public debt and equity securities, while others are significantly different. Features that may distinguish alternative investments include the following:

- The need for specialized knowledge to value cash flows and risks
- Typically low correlation of returns with more traditional asset classes
- Illiquidity, long investment time horizons, and large capital outlays

These features lead to the following alternative investment characteristics:

- Different investment structures due to the challenges of direct investment
- Incentive-based fees to address/minimize information asymmetry between managers and investors
- Performance appraisal challenges

For example, while many alternative investments have equity or debt characteristics, they often require a larger or longer financial commitment due to an underlying investment's extended life cycle or different investment methods and vehicles used to align the capabilities and incentives of managers and investors over time. Unlike individual securities, the size and type of some alternative investments may also be prohibitively large for certain investors. For these reasons, most investors limit alternative investments to that portion of their portfolio designated to fund obligations several years in the future. Sophisticated investors with the longest investment time horizons, such as large pension funds, sovereign wealth funds, and not-for-profit endowments, tend to allocate a larger share of their portfolio to these assets.

Alternative investment categories include private capital, real assets, and hedge funds.

Private Capital

Private Capital is a broad term for funding provided to companies that is sourced from neither the public equity nor the public debt markets. Capital that is provided in the form of equity investments is called private equity, whereas capital that is provided as a loan or other form of debt is called private debt.

Private equity and private debt are alternative investments with features similar to public equity and public debt. For example, both private and public equity investors are company owners with residual claims to future cash flows and dividends. However, while investors in private equity may have full access to company information and latitude to influence

Private equity refers to investment in privately owned companies or in public companies with the intent to take them private. In general, private equity is used in the *mature* life cycle stage or for firms in *decline*,with leveraged buyouts being a key approach. Private equity managers often use the greater control and flexibility of private versus public ownership to make management and strategy changes, including closing, selling, or reorganizing lines of business to increase profitability over a several-year period. **Venture capital** is a specialized form of private equity whereby ownership capital is used for non-public companies in the *early* life cycle or *startup* phase, where often an idea or business plan exists with a limited operation or customer base.

EXAMPLE 1

Venture Capital vs. Private Equity

Heartfield Digital is an early-stage digital media venture established 18 months ago. Heartfield plans to convert conventional music and art collection rights to digital form for sale and distribution. Its founders are seeking early-stage investors in order to conduct market research, build partnerships, and initiate operations.

In contrast, Arguston Inc. is a mid-sized manufacturing firm in a mature industry that is experiencing a decline in profitability. Arguston's share price has stagnated, and given its high-cost structure and dwindling operating cash flow, Arguston lacks the scale to make necessary technological upgrades to maintain competitiveness. A prospective private equity investor might consider an investment plan to restructure Arguston's operations, acquire a smaller competitor, and/or create efficiencies, perhaps by updating the plant and equipment. In several years, Arguston may emerge as a more profitable independent company or as an attractive acquisition target for a competitor.

Technically, venture capital (VC) is a form of private equity. The main difference is that while private equity investors prefer stable companies, VC investors usually come in during the startup phase. Venture capital is usually given to small companies with huge growth potential, such as Heartfield Digital, while broader types of private equity financing would be more appropriate for a mature firm, such as Arguston.

For **private debt**, in addition to private loans or bonds, venture debt is extended to early-stage firms with little or no cash flow, while distressed debt (introduced in a separate fixed-income lesson) involves public or private debt of corporate issuers believed to be close to or in bankruptcy that could benefit from investors with capital restructuring skills.

Real Assets

In contrast to financial assets, **real assets** generally are tangible physical assets, such as real estate (for example, land or buildings) and natural resources, but also include such intangibles as patents, intellectual property, and goodwill. Real assets either generate current or expected future cash flows and/or are considered a store of value. **Real estate** includes borrowed or ownership capital in buildings or land. Developed land includes commercial and industrial real estate, residential real estate, and infrastructure. Commercial real estate includes land and buildings where private business activity is the primary cash flow source, whereas residential real estate's cash flows stem from rents or mortgage payments by households. Publicly traded forms of real estate include real estate investment trusts (REITS), which are issuers of equity securities, and mortgage-backed debt securities, which are introduced and discussed in a fixed-income lesson.

Infrastructure is a special type of real asset that typically involves land, buildings and other long-lived fixed assets that are intended for public use and provide essential services. Bridges and toll roads are common examples of tangible infrastructure assets.

broadband internet investment. Infrastructure assets create cash flows either *directly* in the form of fees, leases, or other compensation for access rights or *indirectly* by promoting economic growth and supporting a government's ability to generate increased tax revenue on future economic activity. When private investors are involved, a contract known as a **concession agreement** usually governs the investor's obligations to construct and maintain infrastructure as well as the exclusive right to operate and earn fees for a pre-determined period.

EXAMPLE 2

Public–Private Partnership for Infrastructure Projects in Indonesia

PT Indonesia Infrastructure Finance (IIF) is a private national company established in 2010 by the government of Indonesia to accelerate and improve private participation in infrastructure development in Indonesia. Together with the World Bank, the Asian Development Bank, and other institutions, the IIF provides infrastructure financing and advisory services for commercially viable infrastructure projects. This approach has facilitated development of PPP projects, increased equity investment in Indonesian infrastructure projects, and increased institutional awareness and capacity to implement environmental, health, and safety and social issues. Looking ahead, the IIF anticipates the need to spend USD150 billion over a five-year period to construct power plants and toll roads. While the government will be able to fund 30% of this cost, the remainder will be financed by the private sector through PPPs.

Natural resources involve either less developed land, which itself is the source of economic value, or naturally occurring standardized products that are harvested, extracted, and/or refined. Less developed land includes farmland, timberland, or land for exploration for natural resource deposits, such as minerals or energy. Sources of return for these types of less developed land include expected price appreciation over time and cash flows. For example, farmland generates crop yields or agricultural lease payments, future timber harvests generate timberland income, and mineral or drilling rights to extract and refine natural resources can provide income. In some cases, these investments may be considered for environmental, social, and governance (ESG) purposes—for example, when promoting sustainable farming practices for agriculture or creating carbon offsets for timberland, as in the following example.

EXAMPLE 3

Using Timberland to Create Carbon Offsets

Companies eager to offset emissions are paying timberland owners not to cut acres of trees. Growing trees absorb carbon in the atmosphere.

- Companies that pay timber owners not to harvest trees receive credits in the form of carbon offsets. Large companies, which inevitably generate emissions in the course of doing business, can fund carbon offsets to demonstrate to their investors, customers, and others (including regulators) that they are serious about reducing pollution and helping the environment.
- For large and small owners of timberland, choosing not to harvest makes sense, too. Their trees continue to grow, leading to higher future volumes of timber, and they earn non-timber income in the meantime.

In other cases, undeveloped land may also have future potential for commercial, residential, or infrastructure development.

consumers for economic use. Investors seek to benefit from commodity price changes based on their future economic use as well as a lower correlation of returns versus other asset classes over the economic cycle. With their lower correlation of returns with other asset classes, commodities also can serve as a countercyclical holding and as an inflation hedge.

EXAMPLE 4

Rising Demand for Lithium, an Increasingly Important Commodity

Demand for lithium is growing rapidly as demand for electric vehicles (EVs) climbs. Lithium is popular with battery manufacturers because, as the least dense metal, it stores a large proportion of energy relative to its weight.

The sales of battery electric and plug-in hybrid electric cars exceeded 2 million for the first time in 2019. China dominates this market, accounting for more than half of all current EV sales worldwide. An industry source has forecast that EV sales will grow from 2.5 million in 2020 to approximately 11 million in 2025 and will exceed 30 million by 2030, garnering approximately 32% of the total market share for new car sales at that time.

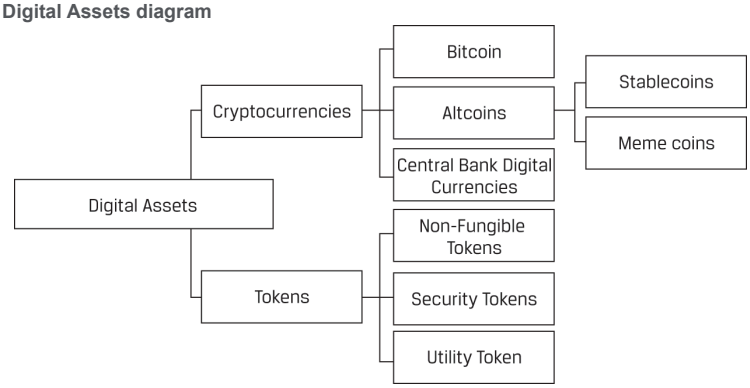
Demand for lithium will rise accordingly. The growth in lithium demand is expected to foster new lithium mining and more production in more countries worldwide.

Other real alternative assets include tangible collectible assets, such as fine art, wine, rare coins, watches, and other rare assets, as well as intangible assets, such as patents, and litigation, and so-called **digital assets**. “Digital assets” is the umbrella term covering assets that can be created, stored, and transmitted electronically and have associated ownership or use rights.

Digital Assets

The term “digital assets” covers a wide variety of assets, such as cryptocurrencies, tokens (security and utility), and digital collectables (such as digital art). The following diagram provides a simple breakdown of digital assets.

Digital Assets diagram



Cryptocurrency and tokens utilize cryptography, an advanced encryption technique that assures the authenticity of crypto assets. The key difference between these two classes of digital asset is that cryptocurrencies have their own blockchains, whereas crypto tokens are built on an existing blockchain.

For example, cryptocurrencies are the native asset of a blockchain—such as Bitcoin (BTC) or Ethereum (ETH). However, tokens are created as part of a platform that is built on an existing blockchain, such as the many ERC-20 tokens that make up the Ethereum ecosystem. The Ethereum ecosystem is used as a network for

learning module.

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Hedge Funds

Hedge funds are private investment vehicles that may invest in public equities or publicly traded fixed-income assets, private capital, and/or real assets, but they are distinguished by their investment *approach* rather than by the investments themselves. Hedge funds make frequent use of leverage, derivatives, short selling, and other investment strategies, which often results in a substantially different risk and return profile from that of merely buying and holding the underlying assets in an investment portfolio. Investors may also invest in a portfolio of hedge funds, often referred to as a **fund of funds**.

Category

Alternative Investment Features, Methods, and Structures

Question Set

1. Tangible physical assets that generate current or expected future cash flows and/or are considered a store of value are *best* labeled as:

A. real assets.
B. private equity.
C. venture capital.

Hide Solution

Solution:

The correct answer is A. In contrast to financial assets, real assets are generally tangible physical assets that generate current or expected future cash flows and/or are considered a store of value. Major categories of real assets include real estate and natural resources, as well as intangibles such as patents. B is incorrect because private equity, considered an alternative investment, is non-publicly traded capital that is invested directly in private companies (or in public companies that are being taken private). It is typically used to invest in firms in the mature life-cycle stage or in decline. C is incorrect because venture capital is ownership capital used for non-public companies in their early life cycle or startup phase.

2. Contrast private equity and venture capital.

Hide Solution

Solution:

Private capital is used at different times in a company's life cycle and in different forms. Most private equity is used in the mature life cycle stage or for firms in decline. Private equity managers often use the greater control and flexibility of private versus public ownership to make management and strategy changes including closing, selling, or reorganizing lines of business to increase profitability over a several-year period. In contrast, venture capital is used for non-public companies with high growth potential in their early life cycle or startup phase. Venture capital is essentially a specialized form of private equity; it represents a small portion of the entire private equity market by value.

3. Identify which statement about a digital asset is *most* accurate. A digital asset:

A. includes digital art but not cryptocurrencies.
B. is anything that can be stored and transmitted electronically and has associated ownership or use rights.
C. must adhere to very specific designs or requirements in order to work within the limited types of technology that support it.

The correct answer is B. Digital assets continue to evolve and vary in terms of design and application. Digital assets can be thought of as anything that can be stored and transmitted electronically and has associated ownership or use rights. A is incorrect because digital assets include cryptocurrencies, tokens (security and utility), and digital collectables (such as digital art). C is incorrect because digital assets may take many forms (such as digital tokens and virtual currencies) and may use various underlying technologies. They are not limited to specific designs or technology.

4. Determine the correct answers to fill in the blanks: Alternative investment categories include _____, _____, and _____.

Hide Solution

Solution:

Alternative investment categories include *private capital*, *real assets*, and *hedge funds*.

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Question 3 - why is C not the correct answer? There are specific technical design patterns in digital asset tokens/ smart contracts for example ERC-20 on ETH is creates a standard interface for fungible tokens on that network (ERC-20 would be the design requirement and ETH/EVM blockchains here would be the limited type of technology that supports it). You can have different types of designs outside of the ERCs but they won't be compatible with the rest of dApps (over EVM) that use the standard (ERC-20) or build on it like vaults (ERC-4626). Between blockchains or from blockchain to different tech system is less interoperable (for example BTC and ETH have different design patterns, consensus mechanisms and security assumptions). The digital assets are (mostly) limited to the blockchain they are generated on that stores the data and can modify the state

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